Triple-Engine Momentum Strategy

Leveraged Nasdaq-100 core • relative-strength stock satellite • volatility-targeted gold overlay

Backtest period: January 2007 – October 6, 2026
Initial investment: $10,000
Rebalance: monthly

$8.94M	41.1%	-66.6%	0.93	16.6%
$10,000 grew to (Option 6)	Annualized return (CAGR)	Maximum drawdown	Sharpe ratio	QQQ buy & hold CAGR ($205,692)

STRATEGY OVERVIEW

The Triple-Engine Momentum Strategy is a rules-based, long-only U.S. equity strategy that seeks to compound faster than the Nasdaq-100 by combining **leveraged index exposure** with a **concentrated sleeve of the strongest-trending stocks**, while using **trend and volatility rules to step aside in bear markets**. Every decision is mechanical and made once a month from price data only; there is no discretionary stock picking or forecasting. When conditions deteriorate, capital rotates into gold (GLD) and borrowed margin is fully repaid.

HOW IT WORKS — THREE ENGINES

ENGINE 1 · CORE 30%

Leveraged index trend

- Holds **QLD** (2× Nasdaq-100) while QQQ trades above its 200-day moving average.
- Below the 200-day average, the core is sold and moved to **gold**.
- Captures broad market upside with built-in bear-market exits.

ENGINE 2 · SATELLITE 70%

Relative-strength leaders

- Ranks Nasdaq-100 stocks by a 50/50 blend of **6-month and 3-month** return vs. QQQ.
- Buys the **top 3** (equal weight) that are above their own 200-day average.
- **–20% stop** per stock; stop proceeds move into QLD until the next rebalance.

ENGINE 3 · RISK OVERLAY

Volatility & leverage control

- Targets **22% volatility**: when QQQ's 20-day volatility is higher, exposure shrinks and the excess goes to **GLD**.
- **1.5× margin** only in confirmed uptrends; **0% margin** when QQQ < 200-day average.

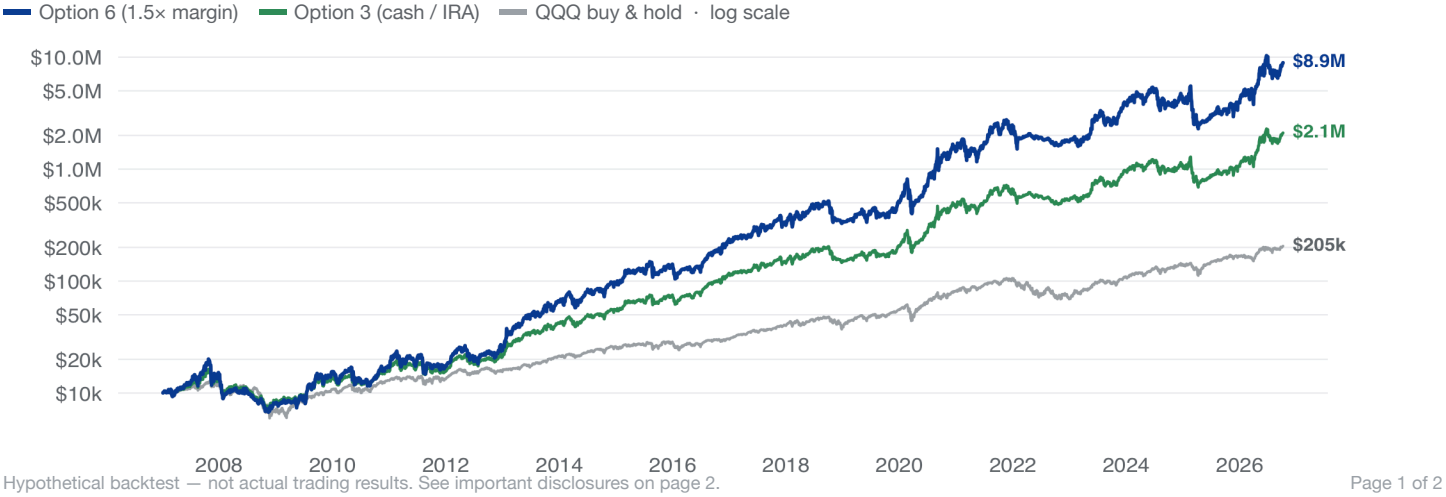
RULES AT A GLANCE

Universe	Nasdaq-100 members at each rebalance date (historical, point-in-time)
Signal	Composite relative strength = 0.5 × 126-day + 0.5 × 63-day excess return vs. QQQ
Trend filters	Stock ≥ own 200-day SMA; QQQ ≥ 200-day SMA for core & margin
Sizing	Core 30% / satellites 70% × min(1, 22% ÷ QQQ 20-day vol) × leverage
Defensive asset	Gold (GLD) for unused risk budget and bear-market core
Rebalance	Monthly (first trading day); stops checked daily

TWO VERSIONS

	Option 6	Option 3
Account type	Margin	Cash / IRA
Bull-market leverage	1.5×	1.0× (none)
Peak gross exposure	~150%	~100%
CAGR	**41.1%**	31.2%
Maximum drawdown	-66.6%	-56.5%
$10,000 became	**$8.94M**	$2.11M

GROWTH OF $10,000



PERFORMANCE STATISTICS

January 2007 – Oct 2026	Option 6	Option 3	QQQ
Ending value of $10,000	**$8.94M**	$2.11M	$205,692
Cumulative return	**+89,283%**	+21,004%	+1,957%
Annualized return (CAGR)	**41.1%**	31.2%	16.6%
Annualized volatility	**47.6%**	32.1%	22.2%
Sharpe ratio	**0.93**	0.96	0.73
Sortino ratio	**1.34**	1.38	1.04
Maximum drawdown	**-66.6%**	-56.5%	-53.4%
Max drawdown period	**Oct 2007 – Nov 2008**	Oct 2007 – Nov 2008	Oct 2007 – Nov 2008
Recovered to prior peak	**Jan 2011**	Jan 2011	Dec 2010
Calmar ratio (CAGR / MaxDD)	**0.62**	0.55	0.31
Best calendar year	**+188% (2020)**	+124% (2020)	+55% (2023)
Worst calendar year	**-44% (2008)**	-36% (2008)	-42% (2008)
Best / worst month	**+46% / -35%**	+41% / -23%	+16% / -16%
Positive months	**65%**	65%	63%

ANNUALIZED RETURN BY PERIOD

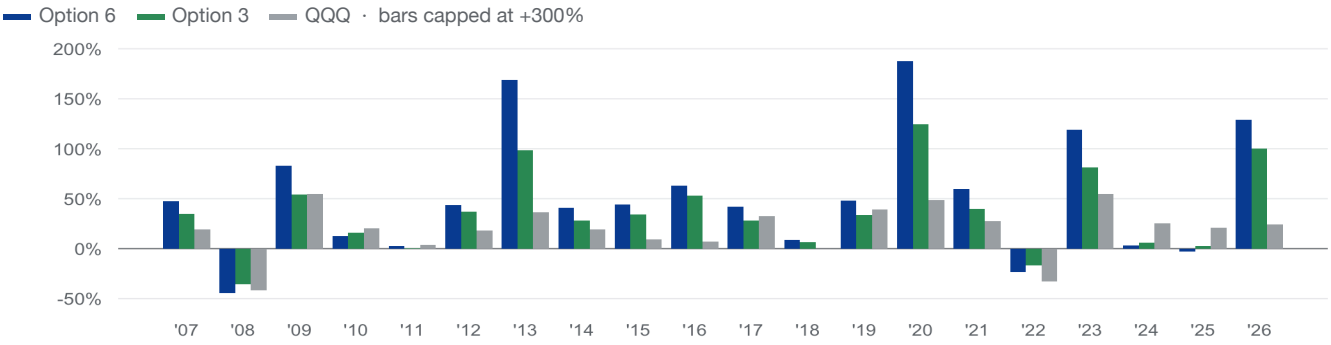
Period	Opt 6	Opt 3	QQQ	Opt 6 DD
2007-2016	36.3%	27.4%	11.6%	-67%
2017-2026	46.2%	35.2%	21.8%	-59%
Last 5 yrs	34.2%	29.2%	16.9%	-59%
Last 3 yrs	48.6%	41.2%	28.6%	-59%

CRISIS PERIODS (TOTAL RETURN)

Event	Opt 6	Opt 3	QQQ
2008 GFC (Oct 07 - Mar 09)	-57%	-45%	-52%
2020 COVID (Feb - Mar 20)	-47%	-33%	-27%
2022 Bear (Jan - Dec 22)	-23%	-17%	-33%

Expect deep drawdowns. Option 6 lost about two-thirds of its value in 2008 and took until Jan 2011 to recover. Leverage magnifies losses as well as gains.

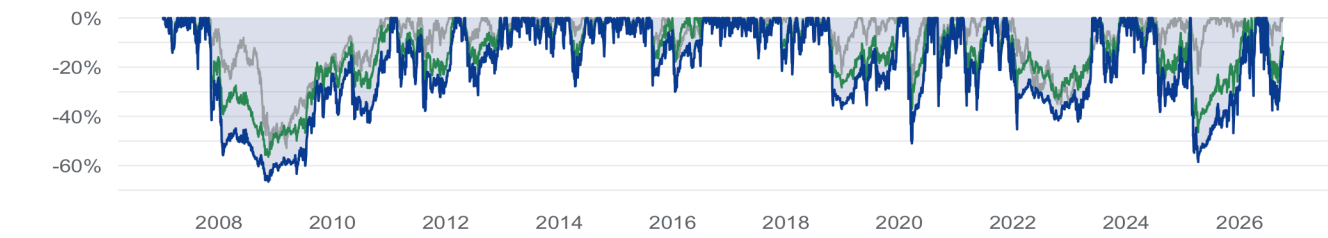
CALENDAR-YEAR RETURNS



	2007	2008	2009	2010	2011	2012	2013	2014	2015	2016
Option 6	+48%	-44%	+83%	+13%	+2%	+44%	+169%	+41%	+44%	+63%
Option 3	+35%	-36%	+54%	+16%	+1%	+37%	+98%	+28%	+34%	+53%
QQQ	+19%	-42%	+55%	+20%	+3%	+18%	+37%	+19%	+9%	+7%

	2017	2018	2019	2020	2021	2022	2023	2024	2025	2026*
Option 6	+42%	+9%	+48%	+188%	+59%	-23%	+119%	+3%	-3%	+129%
Option 3	+28%	+6%	+34%	+124%	+40%	-17%	+82%	+6%	+3%	+100%
QQQ	+33%	+0%	+39%	+48%	+27%	-33%	+55%	+26%	+21%	+24%

DRAWDOWN FROM PRIOR PEAK



Important disclosures. All results are **hypothetical, back-tested** simulations, not actual trading, and were prepared with the benefit of hindsight; no investor achieved these returns. Past or simulated performance does not guarantee future results. **Methodology:** January 2007 – October 6, 2026 (*2026 is year-to-date). Satellite stocks are drawn only from **actual Nasdaq-100 constituents at each rebalance date** (source: jmccarrell/n100tickers) to limit survivorship bias; however, ~67 former members that were later delisted (mostly acquired) lack free price history and are excluded, so a small residual bias remains. Earlier internal tests using a hand-picked list of today's winners overstated returns by ~20 percentage points per year; those figures are not shown. Prices are dividend-adjusted closes. Assumes 0.10% transaction cost per trade, margin interest at the 3-month T-bill rate + 1.75%, cash earning the T-bill rate, fractional shares, and no taxes, slippage beyond costs, or management fees. QLD history before its 2006 launch is not used. **Risks:** leverage and leveraged ETFs can produce losses exceeding those of the underlying index, margin calls, and decay in volatile markets; concentrated three-stock positions carry significant single-company risk; trend and volatility rules can whipsaw. The live scanner may be configured with a different stock list or position count than shown here. This document is for informational purposes only and is not investment advice or an offer to buy or sell any security.